25901025 Scheme for Valuation

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION November 2025

First SEMESTER

Skill Development Components (SDC) - MG1SDCBFS101 - FINANCIALCONSULTANT MANAGEMENT (2025 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes Maximum Marks : 50

Students should attempt at least one question from each course outcome to enhance their overalloutcome attainability.

Part A

Very Short Answer Questions. Answer any 10 questions. Each question carries 2 marks.

1. Describe about Financial Consultant Manager different from a Financial Advisor? [U] / [CO1]

A Financial Consultant Manager is responsible for managing, training, and supervising a team of financial consultants while focusing on business development and strategy. A Financial Advisor, on the other hand, directly interacts with clients to provide personalized financial planning, investment, and insurance advice. The manager's role is leadership- and performance-oriented. The advisor's role is primarily client-centric.

2. Describe about any two pension products in India. [U] / [CO2]

The National Pension System (NPS) is a government-supported, market-linked retirement scheme aimed at long-term savings. The Public Provident Fund (PPF) is a long-term savings scheme offering guaranteed returns and tax benefits. NPS provides flexibility in investment choices. PPF focuses on safety and assured retirement savings.

Major pension products include the National Pension System (NPS), Employees' Pension Scheme (EPS), Public Provident Fund (PPF), Atal Pension Yojana (APY), and pension plans offered by life insurance companies.

3. State about Defined Contribution Plan. [U] / [CO3]

A Defined Contribution Plan specifies the contribution amount made by the employer, employee, or both. The retirement benefit depends on investment returns over time. The investment risk is borne by the employee. Examples include NPS and Provident Fund schemes.

4. State the objective of helping a customer set financial goals. [U] / [CO4]

The objective is to give direction and structure to personal financial planning. It helps prioritize needs such as education, retirement, and wealth creation. Goal setting ensures optimal allocation of income and savings. It also enables regular monitoring and adjustment of financial plans.

5. Difference between Money Back Policy and Traditional Endowment Policy. [U] / [CO2]

A Money Back Policy provides periodic payouts during the policy term along with life coverage. A Traditional Endowment Policy pays the entire sum assured only at maturity or on death. Money back policies offer liquidity at regular intervals. Endowment policies focus on long-term savings accumulation.

6. Give two points regarding Present Value and Future Value. [U] / [CO1]

Present Value represents the current worth of a future sum discounted at a specific rate. Future Value indicates the value of a current investment at a future date. Present Value helps evaluate investment decisions today. Future Value helps in planning long-term financial goals.

7. Analyze the relationship between risk and insurance premium. [An] / [CO2]
Insurance premiums are directly related to the level of risk involved. Higher risk individuals or assets attract higher premiums due to increased claim probability. Lower risk results in lower premiums. Risk assessment is the foundation of premium pricing.

8. Give the reasons why retirement planning is important for individuals. [U] / [CO3]
Retirement planning ensures financial independence after regular income stops. It helps maintain a comfortable standard of living during old age. It also prepares individuals for rising healthcare expenses. Early planning reduces financial stress post-retirement.

9. Explain the objectives of going on regular family vacations. [U] / [CO4]
Regular family vacations help reduce stress and improve mental well-being. They strengthen family bonding and relationships. Vacations provide relaxation and rejuvenation from routine life. They also contribute to work-life balance.

10. State the main purpose of the Public Provident Fund (PPF). [U] / [CO3]
The main purpose of PPF is to encourage long-term savings for retirement. It offers guaranteed returns with tax benefits. PPF provides financial security with minimal risk. It promotes disciplined savings habits.

11. Explain the pros and cons of hiring a financial consultant. [E] / [CO1]
The advantages include professional expertise, personalized financial planning, and better investment decisions. Consultants help save time and reduce financial mistakes. However, their services involve fees or commissions. There may also be potential bias in product recommendations.

12. Explain in any two points why insurable interest is important in insurance contracts. [U] / [CO2]
Insurable interest ensures that the policyholder faces a financial loss on the occurrence of the insured event. It prevents gambling or speculative insurance contracts. It establishes a legal relationship between the insured and the subject matter. This principle is essential for the validity of insurance contracts.

Part B
Short Answer Questions. Answer any 6 questions. Each question carries 5 marks
13. Compare the benefits and risks of using REITs versus traditional real estate for retirement income. [U] / [CO3]
REITs provide regular income through dividends and offer high liquidity as they are traded on stock exchanges. They require lower initial investment compared to traditional real estate. Traditional real estate provides stable rental income and potential capital appreciation over the long term. However, REITs are exposed to market volatility and interest rate risk. Traditional real estate faces risks such as illiquidity, maintenance costs, and regulatory issues. For retirement income, REITs offer convenience, while direct real estate offers control and tangible ownership.

14. Illustrate the importance of location and market trends in real estate investment performance. [U] / [CO4]
Location significantly influences property demand, rental income, and appreciation potential. Properties in prime locations benefit from better infrastructure, connectivity, and employment opportunities. Market trends such as urbanization and economic growth affect real estate

prices. Interest rate movements and government policies also shape market performance. A favorable location combined with positive market trends ensures higher returns. Poor location or adverse trends can reduce investment value.

15. Explain the relationship between Present Value (PV) and Future Value (FV). [U] / [CO1]

Present Value and Future Value are interrelated concepts in financial decision-making. Present Value represents the current worth of a future amount discounted at a given rate. Future Value shows how a present investment grows over time through compounding. PV moves backward in time, while FV moves forward. Both are linked through the rate of interest and time period. They help in evaluating investment alternatives.

16. Explain the role, features, and importance of a Financial Consultant Manager. [U] / [CO1]

A Financial Consultant Manager oversees a team of financial consultants and ensures achievement of organizational goals. The role includes client acquisition strategies, training, and performance monitoring. Key features include leadership, strategic planning, and compliance management. The manager ensures quality financial advice and ethical practices. This role bridges management and client services. It is important for sustainable business growth.

17. Explain the characteristics of a ULIP plan. [U] / [CO2]

A ULIP combines insurance protection with investment opportunities. Premiums are partly allocated to life cover and partly invested in equity, debt, or balanced funds. ULIPs offer flexibility in fund switching based on risk preference. They provide long-term wealth creation along with life insurance. Market performance influences returns. ULIPs also offer tax benefits under prevailing laws.

18. Compare SIP and SWP in terms of objective, process, and suitability for investors at different life stages. [U] / [CO3]

SIP aims at disciplined wealth creation through regular investments. SWP focuses on generating regular income by systematic withdrawals. SIP involves periodic investments, while SWP involves periodic redemptions. SIP is suitable for young and middle-aged investors. SWP is ideal for retirees seeking steady income. Both help manage market volatility.

19. Outline the concept of dividends in the context of equity investments. [U] / [CO4]

Dividends are a portion of company profits distributed to shareholders. They provide regular income to equity investors. Dividends can be paid in cash or additional shares. Not all companies declare dividends, especially growth-oriented firms. Dividend policy depends on profitability and reinvestment needs. Dividends enhance total shareholder returns.

20. Illustrate how rising healthcare costs have increased the relevance of medical insurance in recent years. [U] / [CO2]

Healthcare costs have increased due to advanced medical technology and inflation. Hospitalization and treatment expenses can significantly impact savings. Medical insurance reduces the financial burden of unexpected health issues. It provides access to quality healthcare without financial stress. Insurance coverage helps manage long-term medical costs. Thus, medical insurance has become essential.

21. Explain the concept of Time Value of Money (TVM) with suitable examples. [U] / [CO1]

The Time Value of Money states that money today is worth more than money in the future. This is due to earning potential and inflation. For example, ₹1,000 invested today will grow with interest. The same amount received later has lower purchasing power. TVM uses concepts like PV and FV. It aids in investment and financial planning decisions.

22. Summarize the significance of OPD coverage in addressing day-to-day medical expenses. [U] / [CO2]

OPD coverage includes expenses for consultations, diagnostics, and medicines. It reduces out-of-pocket spending on routine healthcare. Many medical expenses are OPD-related rather than hospitalization. OPD coverage encourages timely medical care. It is especially useful for families and elderly individuals. Thus, it enhances comprehensive health protection.